



PEOPLE OPERATIONS · PROCESS

Contractor and Freelancer Process Guide

Track 2, start to finish: classification, contracts and statements of work, milestones, invoices and close-out.

Contractor and Freelancer Process Guide Audience

Revised March 2026

Classification

Hiring managers, HR and Finance Internal use only

Overview and When to Use One

A contractor is a business, or a self-employed individual, engaged to deliver a defined piece of work under a contract. We agree what will be delivered, by when and for how much. How it gets done is up to them.

Use Track 2 when:

- you can describe the outcome, not just the activity
- the work has a beginning and an end
- you are buying expertise we do not have and do not need permanently
- the contractor brings their own method, and usually their own tools
- payment can sensibly attach to delivery rather than to hours

Use Track 1 instead when you need a person at a desk doing work you will direct day to day. See the Contingent Worker Process Guide.

Two kinds of contractor, one process, one extra step

	A contractor company	An independent contractor
Who they are	A business with its own employees	A self-employed individual, or a company of one or two people
Employment risk	Low — their staff are their staff	Higher — this is where misclassification happens
Classification check	Only where they are very small	Always
Typical example	An agency building our website	A freelance designer, a fractional CFO

The extra step. Any independent contractor, and any supplier with only one or two people, goes through a classification check before we engage them. It takes about five working days and it exists because this is exactly the arrangement tax authorities look at hardest. See The Classification Check.

What we never do on Track 2: pay an individual by the hour for work we direct. If that is what the work actually looks like, it belongs in Track 1, whatever we call it.

Typical length. The length of the project. An engagement that keeps rolling over with no defined end is a signal that the classification was wrong — HR reviews any contractor engagement that passes twelve months.

The Classification Check

The classification check confirms that someone we plan to engage as a contractor genuinely is one. HR runs it, it takes about five working days, and it happens before any work starts.

When it is required

- always, for a self-employed individual
- always, for a company with one or two people
- where a larger supplier is effectively providing one named person to work alongside our team
- where HR thinks the arrangement looks like employment, whatever the paperwork says

It is not required for an established company delivering a project with its own team.

How it works

1. **You raise the engagement** in Beeline as a Statement of Work and flag that the supplier is an individual or very small.
2. **Beeline sends a short questionnaire** to you and to the contractor, covering the IRS factors in the handbook: who controls the work, who carries the financial risk, and what the relationship looks like.
3. **The contractor supplies evidence** that they are a real business — a business registration or EIN, insurance, and ideally that they have other clients.
4. **HR reviews and decides**, normally within two working days of everything arriving.

The three outcomes

Outcome	What happens
Clear	The engagement proceeds. Contract and SOW are issued
Clear with conditions	It proceeds, with something changed — a fixed fee instead of an hourly rate, a defined end date, or specific limits on our direction of the work
Not clear	They cannot be engaged as a contractor. HR will suggest either an agency placement on Track 1 or, where the work is really a job, hiring

A "not clear" outcome is not a rejection of the person. It says this shape of arrangement does not work, not that we do not want them. Most of the time the same person can start the following week through an agency.

What makes a check fail, so you can see it coming: we would set their hours; we are their only client; we would pay hourly with no cap; there is no end date; they would use our equipment and systems for everything; they would do the same work as an employee on the team.

Do not start work while the check runs. Work performed before a clear outcome is exactly the evidence we would not want to have to explain, and it puts the contractor in a difficult position too.

Contract and Statement of Work

Two documents sit underneath every contractor engagement. The contract covers the relationship; the Statement of Work covers the specific job.

The contract is signed once and covers everything we do with that contractor: confidentiality, ownership of what they produce, insurance, liability, payment terms and how either side ends it. HR issues it from our

standard template. Changes to the template need HR, and anything significant needs legal advice — which we buy in.

The Statement of Work (SOW) is raised per engagement in Beeline and is the document you will actually write. It needs:

Section	What good looks like
Scope	What is being delivered, in enough detail that a disagreement later has an answer. Say what is not included too
Deliverables	Named, specific things. "A migration plan and a tested rollback procedure", not "migration support"
Milestones and dates	What is due when. Payment attaches to these
Price	Fixed fee, or a fee per milestone. Include a cap if any part is time and materials
Acceptance	How we decide a deliverable is done, and how long we have to say so
Who is involved	Named people on both sides, and who signs off
Assumptions	What you are relying on — our data being ready, our people being available. This is what protects both sides when a date slips

Approval. SOWs route in Beeline: your manager up to \$25,000, and the department head plus Finance above that. Every SOW goes to Finance before signature regardless of value. Expect two to three working days.

Fixed fee or time and materials? Prefer a fixed fee — it is cleaner commercially and it supports the classification. Where the work genuinely cannot be scoped up front, such as exploratory or research work, time and materials with a hard cap is acceptable. An uncapped hourly arrangement with an individual is not.

Then work starts. Both sides sign in Beeline, and the engagement opens. Work performed before signature is not covered by our contract and we may not be able to pay for it cleanly, so do not let anyone start on a handshake because the paperwork is "nearly there".

Onboarding and Access

Contractors need less onboarding than contingent workers, because they mostly work on their own equipment. What they do need is access, and access is where the care goes.

Before they start

- Contract signed and SOW approved in Beeline
- Classification check clear, where one was required
- Certificate of insurance received, where the contract requires it — HR checks this
- HR has created the BambooHR record

Access

Email it@helvia.ai with what they need and why. Ask for the narrowest access that lets them do the job, and set an expiry date matching the SOW end date — IT can set accounts to expire automatically, and an account that closes itself is one you cannot forget.

They need	Give them
Documents and collaboration only	A guest account on our workspace
Our codebase	A repository account scoped to the relevant repositories
Customer or personal data	Named access only, and tell HR first — a data processing agreement may be needed
Site access	A visitor badge, or a temporary card where they are on site regularly

Equipment. Contractors normally use their own. Where security means they must use ours — access to production systems, or to sensitive data — IT issues a laptop and it is tracked like any other asset. Needing our laptop does not by itself change the classification, but if it is because they are effectively working as one of the team, revisit the track.

Their people. A contractor company may put several of their staff on the work. They stay that company's responsibility: the company signs the contract, and named individuals go on the SOW. If the names change, update the SOW so access and records stay accurate.

The kick-off. Have one, even for a short engagement. Confirm the scope and the first milestone, agree how you will stay in touch and how often, agree where the work will live — our systems, not their laptop — and introduce whoever they need on our side.

What not to do. Do not put a contractor on our internal org chart, include them in employee communications, or give them a Helvia email address that hides who they work for. They should be identifiable as external in any system where people can see them.

Invoices and Milestone Payments

Contractors invoice against the SOW. Unlike Track 1, you approve the invoice itself — there is no timesheet standing in for it, so this is the control point.

The cycle

1. The contractor marks a milestone complete in Beeline and submits an invoice against it.
2. Beeline notifies you.
3. You check the deliverable is actually done and approve or reject, by close of business Monday.
4. Approval releases the invoice to Finance, who pay on our standard terms — normally 30 days.

Before approving, check the deliverable meets what the SOW described, it has been through whatever acceptance the SOW set out, the amount matches the milestone, and the remaining budget still covers what is left. Beeline shows committed spend, invoiced to date and remaining budget on the SOW.

Rejecting. Reject with a specific reason — which deliverable, and what is missing. Talk to the contractor first; an invoice rejected without warning sours a relationship over what is usually a misunderstanding about scope.

Time and materials engagements. Where the SOW is capped time and materials, the contractor submits hours with the invoice. Check the hours against what you expected and watch the cap — Beeline warns at 80% of it. Once the cap is reached, work stops until the SOW is revised. It does not extend automatically, and that is deliberate.

Running out of budget. If it becomes clear the work will exceed the SOW, raise a revision before the cap is hit, not after. See Changing or Extending an Engagement. Work done beyond an approved SOW is work we have no clean way to pay for.

Expenses. Only where the SOW says so, and only with receipts. Agree the rules up front — travel and accommodation are usually reimbursable at cost, everything else usually is not.

What we do not pay for

- time spent pitching, scoping or negotiating the engagement
- rework needed because a deliverable did not meet the SOW
- their general overheads, insurance or tooling
- anything not in the SOW and not covered by an approved revision

Queries about payment timing go to finance@helvia.ai. Queries about scope or the contract go to hr@helvia.ai.

Changing or Extending an Engagement

An engagement changes through a SOW revision. Raise it in Beeline against the existing SOW — open it and choose Revise.

Raise a revision when:

- the scope changes, in either direction
- a milestone or the end date moves
- the price or the cap changes
- the named people on the contractor's side change
- the acceptance criteria change

Approval follows the same route as the original SOW: your manager up to \$25,000 of total committed spend, department head plus Finance above it. Where the revision pushes cumulative spend past the threshold, it goes the longer route even if the revision itself is small. Both sides sign, and the revision takes effect only once the contractor has accepted it.

Extending. Where the work simply needs longer, a date revision is enough. Raise it at least a week before the current end date so access does not lapse — accounts expire on the SOW end date, and an expired account mid-engagement wastes a day.

Scope creep. The common failure on Track 2 is a contractor gradually doing more, invoicing more, and nobody revising anything. Signs to watch: they are attending meetings that were not in scope, doing small favours outside the deliverables, or being asked for things by people other than you. Deal with it by revising the SOW, not by letting it drift — drift is both a budget problem and a classification problem, because an ever-widening scope with no end is what an employment relationship looks like.

A genuinely different piece of work needs a new SOW, not a revision. The test: could you describe it as the same project? If not, raise a new one. The contract already in place covers it, so a new SOW is quick.

Twelve months. HR reviews any contractor engagement passing a year. Rolling revisions on the same SOW over a long period is the pattern that prompts the review, so expect the classification question if that is where you are.

Ending an Engagement

Most engagements end simply: the final deliverable is accepted, the final invoice is paid, the SOW closes.

Your checklist

- Confirm all deliverables have been accepted against the SOW
- Approve the final invoice
- Make sure everything is handed over — documents in our systems, code merged, credentials for anything they set up, and any account they created on our behalf transferred
- Email it@helvia.ai to remove accounts and access on the last day
- Recover any Helvia equipment
- Close the SOW in Beeline
- Complete the closing review — see Reviewing Delivery

The handover is the part that gets skipped. A contractor who built something is the only person who knows how it works. Before the final invoice is paid, make sure you have documentation good enough for someone else to pick it up, credentials in our password manager rather than theirs, the work in our repositories and accounts, and a named person on our side who owns it now. It is much easier to ask for these while an invoice is outstanding.

Ending early. Where the work is not going well, or our needs change, check the notice terms in the contract — normally 14 or 30 days. Tell HR before you tell the contractor. We pay for work properly done up to the end, so agree what is complete and what is part-done, and expect to pay a fair proportion for anything partial.

Ending immediately — for a serious breach, a confidentiality problem, or a safety issue — goes through HR, who will check the contract terms. Cut access straight away by emailing it@helvia.ai, and copy HR.

Access removal matters more here than anywhere. Contractors often hold access to exactly the systems that matter — repositories, cloud accounts, admin consoles — and unlike a contingent worker they are not in the office for anyone to notice they have gone. Send the IT email on the last day.

Keeping the relationship. A contractor who did good work is worth keeping warm. The contract stays in place, so a new SOW is quick, and the classification check does not need repeating unless a year has passed or the arrangement has materially changed.

Reviewing Delivery

At the end of every engagement, spend ten minutes recording how it went. Beeline sends a short form when the SOW closes. This is not about managing the contractor's performance — they are not ours to manage — it is about whether we would use them again and whether we scoped the work well.

What the form asks

- Were the deliverables met, as described in the SOW?
- Was it delivered on time? If not, why — their delay, our delay, or a scope change?
- Was it delivered on budget, and were there revisions? What caused them?
- Quality of the work and of the communication
- Would you engage them again?

Be honest about our side too. A late engagement is often our fault — data that was not ready, a reviewer who did not review, a decision that took three weeks. Recording that is more useful than marking the contractor down, because it is the part we can fix.

Mid-engagement. On anything running more than a couple of months, have a short check-in at the halfway point: are we on track for the milestones, has the scope moved, is anything blocked on us? Catching a slip halfway is a revision; catching it at the end is a dispute.

Where quality is a problem. Raise it with the contractor directly and promptly, pointing at the SOW and the acceptance criteria — this is a commercial conversation, not a performance conversation, and specifics are what make it work. If it does not improve, tell HR before approving any further invoice.

Where it is a conduct problem rather than a quality problem — behaviour towards our staff, a confidentiality concern — it goes to HR immediately, the same as it would for anyone. See Harassment, Discrimination and Safety.

What we do with it. HR keeps the reviews and uses them when someone asks whether we have worked with a supplier before, and when deciding who to approach for similar work. At our size this record is the whole of our institutional memory about suppliers, so a two-line answer that says nothing helps nobody.